 Name _____

Walmart: Reading the Real Financial Statements

Below are Walmart's actual numbers, slightly condensed, for **fiscal 2025** (Feb 1, 2024 – **Jan 31, 2025**; retailers end their year after the holiday season). All amounts are in **$ millions**, so 674,538 means $674.5 billion. Fill in each lettered blank using the relationships between accounts. A calculator is fine.

PART 1 · INCOME STATEMENT

Walmart Inc. — Income Statement *Year ended Jan 31, 2025*

Net sales	674,538
Membership and other income	6,447
Total revenues	**A**
Cost of sales	511,753
Gross profit *(net sales − cost of sales)*	**B**
Operating, SG&A expenses	139,884
Operating income ***(total revenues − all operating costs)***	**C**
Interest, income taxes & other, net	9,191
Net income	**D**

PART 2 · BALANCE SHEET

Walmart Inc. — Balance Sheet *Jan 31, 2025*

Cash and cash equivalents	9,037
Receivables, net	9,975
Inventories	56,435
Prepaid expenses and other	4,011
Total current assets	**E**
Property, leases, goodwill & other	181,365
Total assets	**F**
Accounts payable	58,666
Other current liabilities	37,918
Total current liabilities	**96,584**
Long-term liabilities	**H**
Total liabilities	**G**
Total shareholders' equity	97,421
Total liabilities & equity	**260,823**

Hint: find G before H.

PART 3 · HOW THE ACCOUNTS CONNECT (Inventories were 54,892 on Jan 31, 2024.)

1. **Inventory flow.** Beginning inventory + Purchases − Cost of sales = Ending inventory. How much inventory did Walmart buy during the year? Purchases = **I** _____
2. **Gross margin %** = Gross profit ÷ Net sales = **J** _____ Out of every $100 of sales, about how many dollars are left after paying for the goods? **K** _____
3. **Inventory turnover** = Cost of sales ÷ Average inventory = **L** _____
   Days an item sits on the shelf ≈ 365 ÷ L = **M** _____
4. **Who pays for the shelves?** Accounts payable (58,666) is *larger* than inventories (56,435). In one sentence, what does that tell you?

PART 4 · CONCEPTS

5. **LIFO.** Walmart's U.S. stores use LIFO. When purchase costs are *rising*, LIFO (vs. FIFO) gives: Cost of sales higher / lower ; Net income higher / lower ; Ending inventory higher / lower .
6. **Membership fees.** On Nov 1, a customer pays $50 cash for a 12-month Sam's Club membership. On Walmart's Dec 31 books: revenue earned = **N** _____; still owed as a liability = **O** _____, called **P** _____.

Source: Walmart Inc. Form 10-K for the fiscal year ended Jan 31, 2025 (SEC EDGAR). Condensed for class: "Property, leases, goodwill & other" and "Long-term liabilities" combine several lines. Total liabilities include a $271M redeemable noncontrolling interest. Net income is consolidated (including noncontrolling interests).